

1 Financial instruments – Introduction



Section overview

- The extensive financial reporting requirements for financial instruments are covered by IAS 32, IFRS 9 and IFRS 7.
 - A number of common definitions are used in all three standards and IFRS 13.
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1.1 Introduction

The increasing diversity of businesses and the wider development and availability of financial instruments has increased the use of complex financial transactions by entities in order to manage their exposure to risks. The existence of financial instruments has a significant effect on the risk profile of organisations. Such instruments can have a significant effect on profits, solvency and cash flow.

Not all financial instruments are complex. Some you will be familiar with and already comfortable with how to account for, such as cash. Common financial instruments include:

- cash and timed deposits
- trade payables and receivables
- loans payable and receivable
- debt and equity investments
- derivatives such as interest rate swaps and foreign exchange contracts
- redeemable and irredeemable preference shares
- convertible debt instruments
- investments in shares issued by other entities

As a result of this widespread use of financial assets and financial liabilities as part of an entity's ordinary activities, several IFRS Standards have been published to deal with:

- recognition
- measurement
- presentation and disclosure

1.2 Relevant IFRS Standards

The **relevant accounting standards** for financial instruments are:

- IAS 32, Financial Instruments: Presentation
- IFRS 9, Financial Instruments
- IFRS 7, Financial Instruments: Disclosures
- IFRS 13, Fair Value Measurement

The individual standards cannot be studied in isolation. A number of terms and definitions are used across the standards and an understanding of financial instruments requires an understanding of the key concepts in each standard.

1.3 What is a financial instrument?

The definition of a financial instrument is consistent throughout the IFRS Standards covering financial instruments. It is **introduced in IAS 32**.



Definition

Financial instrument: Any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Note that a **financial instrument has two parties**. It should be recognised as an **asset** by one party and either a **liability or equity** by the other. The classification of a financial instrument as a financial liability or equity is particularly important as it will have an effect on gearing.

1.4 What is a financial asset?



Definition

Financial asset: Any asset that is:

- cash
- an equity instrument of another entity
- a **contractual right**:
 - to **receive cash** or another financial asset from another entity; or
 - to exchange financial assets or financial liabilities with another entity under conditions that are potentially favourable to the entity, such as 'in the money' options that would enable an entity to acquire shares in another company at less than their market value.
- a contract that will or may be settled in the entity's own equity instruments and which is:
 - a non-derivative for which the entity is or may be obliged to receive a variable number of the entity's own equity instruments; or
 - a derivative that will or may be settled other than by exchange of a fixed amount of cash or another financial asset for a fixed number of the entity's own equity instruments. For this purpose, the entity's own equity instruments do not include instruments that are themselves contracts for the future receipt or delivery of the entity's own equity instruments.

The key here is that **financial assets are cash, a contractual right to receive cash or another financial asset (such as shares) or to exchange financial assets or liabilities on favourable terms, or holdings of equity instruments (such as shares).**

The following items are **not financial instruments** as they do not meet the definition set out in IAS 32:

- **physical assets** eg, inventories, property, plant and equipment, right-of-use assets and **intangible assets** (patents, trademarks etc)
- **prepaid expenses**, deferred revenue and most warranty obligations
- liabilities or assets that are **not contractual** in nature eg, **income taxes**
- contractual rights/obligations that **do not involve transfer of a financial asset** eg, commodity futures contracts



Context example: Financial asset

An entity deposits CU20,000 of cash with a bank for a fixed term of three years. The CU20,000 is a financial asset of the entity, as it has a contractual right to receive the cash in three years' time.



Worked example: Definitions

Explain why **physical assets and prepaid expenses do not qualify** as financial instruments.

Solution

Refer to the definitions of financial assets and liabilities given above.

- (1) **Physical assets:** Assets that have physical substance, such as plant and machinery, are not financial assets and neither are intangible assets, such as patents and brands. These assets have the potential to **produce economic benefits** for an entity, but there is **no contractual right** to receive cash or another financial asset.
- (2) **Prepaid expenses, etc:** the **future economic benefit** is the receipt of goods/services rather than the right to receive cash or other financial assets.

1.5 What is a financial liability?



Definition

Financial liability: Any liability that:

- contains a contractual obligation:
 - to deliver cash or another financial asset to another entity; or
 - to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity; or
- is a contract that will or may be settled in the entity's own equity instruments and which is:
 - a non-derivative for which the entity is or may be obliged to deliver a variable number of the entity's own equity instruments; or
 - a derivative that will or may be settled other than by exchange of a fixed amount of cash or another financial asset for a fixed number of the entity's own equity instruments. For this purpose, the entity's own equity instruments do not include instruments that are themselves contracts for the future receipt or delivery of the entity's own equity instruments.



Context example: Derivative - forward contract

A company has entered into a forward contract for the purchase of €1,000,000 at an exchange rate of CU1:€1.20 in six months' time. The company cannot exit from the forward contract and will therefore be required to pay CU833,333 ($€1,000,000/1.20$) to acquire the euro.

At the year end, the exchange rate is CU1:€1.30 and therefore the cost to acquire the €1,000,000 would be CU769,231. The forward contract is therefore out of the money and a liability arises.

The key to this definition is that a **financial liability is a contractual obligation to deliver cash or another financial asset**, or a contractual obligation to exchange financial assets or liabilities on potentially unfavourable terms.

This terminology is consistent with the Conceptual Framework in which a liability is defined in terms of obligations. Note that the IAS 32 definition requires the obligations to be contractual.

Examples of financial liabilities include trade payables, loans and some preference shares. A bank overdraft is a financial liability as it is repayable in cash. A warranty provision is not a financial liability because the obligation is to deliver additional goods or services, not cash.

We should clarify some points arising from these definitions. Firstly, one or two terms above should be themselves defined.

- A '**contract**' need not be in writing, but it must comprise an agreement that has 'clear economic consequences' and which the parties to it cannot avoid, usually because the agreement is enforceable in law.
- An '**entity**' could be an individual, partnership, incorporated body or government agency.

The definitions of **financial assets** and **financial liabilities** may seem rather circular, referring as they do to the terms financial asset and financial instrument. The point is that there may be a chain of contractual rights and obligations, but it will lead ultimately to the receipt or payment of cash or the acquisition or issue of an equity instrument.

Context example: Financial liability

In 20X2 an entity entered into a contract that required it to issue shares to the value of CU10,000 on 1 January 20X5.

This is a **financial liability** since the entity is required to settle the contract by issuing a variable number of shares based on a **fixed monetary amount**.

The entity also entered into a contract that required it to issue 10,000 shares on 1 January 20X5.

In this case, the **number of shares is fixed**, and therefore does not meet the definition of a financial liability and should therefore be presented as an **equity instrument**.

1.6 What is an equity instrument?

Definition

Equity instrument: Any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

In applying these definitions, it is essential to establish whether or not there is in existence a **contractual** right to receive, or a contractual obligation to deliver, which is enforceable by law.

The definitions of financial assets, financial liabilities and equity instruments are necessarily complex. For the Financial Accounting and Reporting examination it is necessary for you to understand the basic points of each definition and the challenges that these definitions represent for financial reporting.

Context example: Ordinary shares

Holders of ordinary shares in a company own equity instruments. Although they own the residual interest in a company, they have no **contractual right** to demand any of it to be delivered to them, for example by way of a dividend. Equally, the company has issued an equity instrument, not a financial liability, because the company has no **contractual obligation** to distribute the residual interest.

An entity that invests in the ordinary shares of another entity holds a financial asset, because an equity interest in another entity falls within the definition of a financial asset.



Professional skills focus: Structuring problems and solutions

It can be difficult to determine whether a financial instrument is a financial asset, liability or equity from the description provided, and it is often difficult to distinguish between them in exam questions, which can lead to the incorrect accounting treatment being applied. When faced with such a problem in the exam, you should apply your knowledge of the Conceptual Framework to identify which elements of the financial statements are affected by the transaction described.



Interactive question 1: Financial instruments

Explain whether the following are financial instruments, financial assets, financial liabilities or equity instruments of each party.

- (a) Offertake Ltd sells CU5,000 of inventory to Guideprice Ltd on 30-day payment terms.
- (b) Ashdell Ltd pays CU20,000 in advance for a 12-month insurance policy.
- (c) Wellbeck Ltd issues 100,000 ordinary shares which are acquired by Keeload Ltd.
- (d) Cashlow plc borrows CU200,000 under a mortgage from Norbert plc.

See **Answer** at the end of this chapter.

2 IFRS 9, Financial Instruments



Section overview

- A financial instrument should be recognised when the entity becomes a party to the contract.
- Financial assets and liabilities are initially measured at fair value (transaction price). An adjustment for transaction costs may be required dependent on the classification of the financial instrument.
- Financial assets and liabilities should be subsequently measured either at fair value or at amortised cost.

2.1 Introduction

IFRS 9 is a relatively new standard which deals with the recognition and measurement of financial instruments. IFRS 9 is challenging in places but the Financial Accounting and Reporting syllabus does not cover the most complex areas.

2.2 Initial recognition and measurement

A financial asset or financial liability should be:

- recognised when an entity enters into the contractual provisions of the financial instrument; and
- initially measured at its fair value, which is usually transaction price ie, the amount of consideration payable or receivable.

The general rule is that transaction costs, such as brokers' and professional fees, should be included in the initial carrying amount. Transaction costs are an expense, and therefore a debit entry and should be added to the carrying amount of a financial asset and deducted from the carrying amount of a financial liability. The **exception** is that transaction costs for financial instruments classified as at fair value through profit or loss should be recognised as an expense in profit or loss, however, these are not included in the Financial Accounting and Reporting syllabus. The classification options are covered in the subsequent measurement section.

Note: In Financial Accounting and Reporting, you should assume that transaction costs are added in the initial measurement of a financial asset and deducted in the initial measurement of a financial liability.

IFRS 9 requires the recognition of all financial instruments in the statement of financial position.

Fair value is defined by IFRS 13, Fair Value Measurement as 'the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date'. It is an important definition.

IFRS 13 provides extensive guidance on how the fair value of assets and liabilities should be established.

This standard requires that the following are considered in determining fair value:

- the asset or liability being measured;
- the principal market (ie, that in which the most activity takes place) or where there is no principal market, the most advantageous market (ie, that in which the best price could be achieved) in which an orderly transaction would take place for the asset or liability;
- (for non-financial assets only) the highest and best use of the asset or liability and whether it is used on a standalone basis or in conjunction with other assets or liabilities; and
- assumptions that market participants would use when pricing the asset or liability.

Having considered these factors, IFRS 13 provides a hierarchy of inputs for arriving at fair value. It requires that level 1 inputs are used where possible:

Level 1	Unadjusted quoted prices in active markets for identical assets and liabilities that the entity can access at the measurement date
Level 2	Inputs other than quoted prices that are directly or indirectly observable for the asset or liability
Level 3	Unobservable inputs for the asset or liability

Context example: Initial fair value

An entity enters into a marketing agreement with another organisation. As part of the agreement the entity makes a two-year CU5,000 **interest free loan**. Equivalent loans would normally carry an interest rate of 6%. The entity made the loan in anticipation of receiving future marketing and product benefits.

In order to calculate the fair value of the loan, we must discount the future cash flow, which is the CU5,000 receivable in two years' time, to present value using the prevailing market interest rate. The present value of the cash flow in two years' time at 6% is CU4,450 ($CU5,000 \times (1/1.06^2)$). On initial recognition of the financial asset the entity should recognise a loss of CU550 in profit or loss as follows:

DR Debt investment	CU4,450
DR Loss (finance cost)	CU550

The debt investment is **unwound to the redemption value** of CU5,000 by recognising annual finance income in profit or loss in each of the two years.

In year 1, the amount recognised as finance income would be $\text{CU}4,450 \times 6\% = \text{CU}267$.

In year 2, the amount recognised as finance income would be $(\text{CU}4,450 + 267) \times 6\% = \text{CU}283$.

The total finance income recognised over the two-year period totals CU550.

2.3 Subsequent measurement of financial assets

After initial recognition financial assets are classified as:

- **fair value through profit or loss**
- **fair value through other comprehensive income**
- **amortised cost**

These classifications are based on the contractual cash flow characteristics of the asset and the entity's business model for managing it.

A **financial asset** is classified as measured at **amortised cost** if:

- it gives **rise solely to payments of interest and principal** on specific dates; and
- the business model of the entity to **hold the asset** to collect the contractual cash flows.

A financial asset is classified as measured at **fair value through other comprehensive income** if:

- it gives rise solely to payments of interest and principal on specific dates; and
- the business model of the entity is to hold to collect the contractual cash flows **and to sell** the asset should the need or opportunity exist.

Other financial assets are classified as measured at fair value through profit or loss.

Since **equity instruments** do not give rise to payments of interest or principal on specific dates, the default position is that they are measured at fair value through profit or loss. An exception to this exists: where equity instruments are not held for trading, an irrevocable election to measure them at fair value through other comprehensive income can be made at initial recognition.

Debt instruments generally give rise to payments of interest or principal on specific dates and therefore, depending on the business model within which they are held, they may be classified as measured at amortised cost or fair value through other comprehensive income. If they are held for trading, they are classified as measured at fair value through profit or loss.

Note: For the purposes of the Financial Accounting and Reporting exam, all financial assets will be assumed to be measured at **amortised cost** using the **effective interest method**.

Amortised cost

Amortised cost is **calculated as**:

- the initial amount recognised for the financial asset; less
- any repayments of the principal sum; plus
- any amortisation.

The amount of amortisation should be calculated by applying the **effective interest method** to spread the total finance income (that is the difference between the initial amount recognised for the financial asset and the amount receivable at maturity plus the interest receivable in the interim) over the period to maturity. The **amount amortised** in respect of a **financial asset should be recognised as finance income** in profit or loss.



Definition

Effective interest rate: The rate that exactly discounts the estimated future cash payments or receipts through the expected life of the instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Note: If required, the effective interest rate will be given in the exam. You will not be expected to calculate it.



Worked example: Amortised cost

An entity acquires a zero-coupon bond with a nominal value of CU20,000 on 1 January 20X6 for CU18,900. The bond is quoted in an active market and broker's fees of CU500 were incurred in relation to the purchase. The bond is **redeemable** on 31 December 20X7 at a premium of 10%. The effective interest rate on the bond is 6.49%.

Requirement

Set out the journals to show the accounting entries for the bond until redemption if it is classified as financial asset measured at amortised cost. The entity has a 31 December year end.

Solution

On 1 January 20X6

DR Financial asset (CU18,900 plus CU500 broker fees) CU19,400
CR Cash CU19,400

On 31 December 20X6

DR Financial asset (CU19,400 × 6.49%) CU1,259
CR Finance income CU1,259

On 31 December 20X7

DR Financial asset ((CU19,400 + CU1,259) × 6.49%)	CU1,341	
CR Finance income		CU1,341
DR Cash	CU22,000	
CR Financial asset		CU22,000

2.4 Subsequent measurement of financial liabilities

Most financial liabilities should be measured at **amortised cost using the effective interest method**. This includes redeemable and irredeemable preference shares which have been recognised as liabilities. Note that the effective interest rate will be equal to the actual interest rate for irredeemable preference shares as there is no redemption premium.

Note: For the purposes of the Financial Accounting and Reporting exam, all **financial liabilities** will be assumed to be measured at **amortised cost** using the **effective interest method**.

Worked example: Financial liability

On 1 January 20X7 Aphrodite Ltd issued CU800,000 in loan notes. Issue costs were CU500. The loan notes do not carry interest but are redeemable at a premium on 31 December 20X8. The effective interest rate on the loan notes is 12%

Requirement

What will be the premium on redemption?

Solution

The premium on redemption represents the total finance cost of the loan notes, which is calculated as follows:

Year	Opening balance	Interest at 12%	Carrying amount
	CU	CU	CU
20X7	799,500	95,940	895,440
20X8	895,440	107,453	1,002,893

At the time of issue, the loan notes are recognised at their net proceeds of CU799,500 (CU800,000 - 500).

The premium on redemption is $(1,002,893 - 800,000) = \text{CU}202,892$

This is equal to the net interest cost over the life of the instrument less the transaction costs $(95,940 + 107,453 - 500)$.

Interactive question 2: Financial liabilities

Bonds with a nominal value of CU200,000 were issued at CU157,763 on 1 January 20X1. The coupon rate is 4% while the effective interest rate is 9.5%. Interest is paid annually in arrears. Redemption is at par in five years. Issue costs are immaterial.

Requirement

Calculate the carrying amount of the bonds in the statement of financial position at 31 December 20X1 and at each subsequent year end until redemption.

The carrying amount of the bonds at 31 December in the years 20X1 to 20X5 is as follows:

Period end	Amount borrowed	Finance cost (at 9.5%)	Repaid (4% × CU200,000)	Carrying amount
	CU	CU	CU	CU
20X1				
20X2				
20X3				
20X4				
20X5				

See **Answer** at the end of this chapter.

3 IAS 32, Financial Instruments: Presentation



Section overview

- Financial instruments should be presented as assets, liabilities or equity in the statement of financial position.
- Compound financial instruments should be **split between** their liability and equity components.
- Interest, dividends, gains and losses should be presented in a manner consistent with the classification of the related financial instrument.
- Financial assets and financial liabilities can only be **offset** in **limited circumstances**.

3.1 Objectives and scope of IAS 32

The objective of IAS 32, Financial Instruments: Presentation is to enhance a user's understanding of the way in which financial instruments affect an entity's financial performance, financial position and cash flows. IAS 32 sets out the presentation requirements for financial instruments and their related interest or dividends, and specifies the circumstances in which they should be offset.

The principles that underlie the standard are consistent with, and complement, those in IFRS 9, which addresses recognition and measurement criteria.

The scope of IAS 32 is that it applies to **all entities** and to all types of financial instruments except where another standard is more specific. Examples of areas which are outside the scope of IAS 32 are:

- investments in subsidiaries accounted for under IAS 27 and IFRS 10
- investments in associates and joint ventures accounted for under IAS 28

3.2 Presentation of equity and liabilities

When an entity issues a financial instrument, it should classify it according to the **substance** of the contract under which it has been issued. It should be classified as:

- a financial asset
- a financial liability
- an equity instrument

The characteristics of the financial instrument should be considered to ensure that it is appropriately classified. This is particularly true when distinguishing financial liabilities and equity instruments. If the financial instrument meets any of the **criteria** set out in the definition of a **financial liability**, then it should be classified as a liability and not as an equity instrument. The classification should be made at the time the financial instrument is issued and not changed subsequently.

The classification is important as it changes the perceived risk of the entity. The classification of an instrument as a financial liability will potentially have an adverse effect on the gearing ratio of a company and may reduce its ability to obtain further debt funding.

The classification of a financial instrument as a liability or as equity depends on the following:

- the **substance of the contractual arrangement** on initial recognition; and
- the **definitions** of a financial liability and an equity instrument.

How should a financial liability be distinguished from an equity instrument? The critical feature

of a liability is an obligation to transfer economic benefit. Therefore, the financial instrument is a financial liability if there is:

- a **contractual obligation** of the issuer to deliver cash/another financial asset; or
- a **contractual right** for the holder to receive cash/another financial asset.

Where this feature is **not** met, then the financial instrument is an **equity instrument**.



Context example: Classification of financial instruments

Alpha Ltd issues 100,000 CU1 ordinary shares. These are classified as an equity instrument:

- The shareholders own an equity instrument because although they **own a residual interest in the company**, they have **no contractual right to demand** any of it to be delivered to them eg, by way of dividend.
- The company has issued an equity instrument because it has **no contractual obligation** to distribute that **residual interest**.

3.3 Preference shares

Preference shares provide the holder with the **right to receive an annual dividend** (usually of a predetermined and unchanging amount) out of the profits of a company, **together with a fixed** amount on the ultimate liquidation of the company or at an earlier date if the shares are redeemable. The **legal form of preference shares is that they are equity**.

IAS 32 guidelines mean, however, that some **preference shares are classified as liabilities**. This is because they are, in substance, loans, and create obligations for the issuing entity.

Non-discretionary annual dividend = 'interest'

Fixed amount on redemption/liquidation = 'repayment of loan'

In substance a non-discretionary dividend is interest and the redemption amount is a repayment of a loan. Because financial reporting focuses on the substance of the transactions, preference shares with either of these characteristics should be presented as liabilities.

Where preference shares are irredeemable the classification depends on other terms related to the preference shares, such as the rights to dividends. If **dividends on the irredeemable** preference shares are **mandatory and cumulative**, then the entity has a contractual obligation to pay the dividends to the preference shareholders and therefore the shares should be **presented as liabilities**. If there is no mandatory requirement to pay (or defer) dividends on irredeemable preference shares ie, the payment of dividends is discretionary, then there is no contractual obligation to deliver cash (or another financial asset) and instead the irredeemable preference shares should be presented as equity.

Therefore, **in practical terms preference shares** are only **treated as part of equity when:**

- they will **never be redeemed**; **IQ 03 related**
- the redemption is solely at the **option of the issuer** and the terms are such that it is very unlikely at the time of issue that the issuer will ever decide on redemption; **and**
- the **payment of dividends is discretionary**.



Professional skills focus: Assimilating and using information

Determining whether preference shares should be classified as equity or liabilities requires careful consideration of the terms and conditions attached to the preference shares. You need to consider whether the terms of the preference shares give rise to **obligations** and use this to

determine the appropriate accounting treatment. For the purposes of your exam, you will be told whether the payment of dividends is discretionary or mandatory in relation to irredeemable preference shares.



Interactive question 3: Liabilities and equity

Moorgate Ltd issued 10,000 preference shares. The preference shares are **redeemable only** at the option of Moorgate Ltd. A preference share dividend is payable at the same amount per share as any ordinary share dividend declared during that year.

Requirement

Explain the **presentation requirements** for Moorgate Ltd's preference shares.

See **Answer** at the end of this chapter.



Interactive question 4: Redeemable preference shares

On 1 January 20X3 Philo plc issued 300,000 CU1 6% redeemable preference shares. The shares were issued at a discount of 5% and the effective interest rate is 7%. Dividends are paid annually in arrears.

Requirement

Explain how the preference shares should be classified and calculate the carrying amount of the shares in the statement of financial position of Philo plc as at 31 December 20X4.

See **Answer** at the end of this chapter.

3.4 Compound financial instruments

A compound or 'hybrid' financial instrument is one that contains **both a liability component and an equity component**. As an example, an issuer of a **bond** that is convertible into a fixed number of shares has:

- the obligation to pay annual interest and eventually repay the capital (the liability component); and
- the possibility of issuing equity, should bondholders choose the conversion option (the equity component).

In substance the issue of a convertible bond is the same as issuing separately a non-convertible bond and an option to purchase shares.

At the date of issue the components of such instruments should be classified separately according to their substance. This is often called 'split' accounting. The amount received on the issue should be allocated between the separate components as follows:

- The fair value of the liability component should be measured at the present value of the periodic interest payments and the eventual capital repayment assuming the bond is redeemed. The present value should be discounted at the market rate for an instrument of comparable credit status and the same cash flows but without the conversion option.
- The fair value of the equity component should be measured as the remainder of the net proceeds.
- Transaction costs are allocated to the liability and equity components of the compound financial instrument in proportion to the allocation of the proceeds.

Note that the rate of interest on the convertible will be lower than the rate of interest on the comparable instrument without the convertibility option, because of the value of the option to acquire equity. A second interest rate is also required if issue costs have been incurred. This will be provided in the Financial Accounting and Reporting examination if required.

The allocation should not be revised for subsequent changes in market interest rates, share prices or other events that have changed the likelihood that the conversion option will be exercised. This is the case even if the terms become so disadvantageous that it is extremely unlikely that the option will be exercised.



Context example: Convertible bonds

Instead of issuing a 7% loan repayable in 10 years' time, an entity issues a 5% convertible bond for CU50,000 that is repayable in cash in 10 years or convertible at that time into 5,000 ordinary shares in the company.

In such a case the company could have issued two separate instruments, a 7% loan repayable in 10 years' time and a warrant or option to subscribe for 5,000 ordinary shares on that date.

Note that the cash flows of the instrument are the same regardless of its accounting treatment, but the accounting treatment may affect the user's perception of risk.



Professional skills focus: Structuring problems and solutions

You could be faced with a question in which the accountant has incorrectly recorded a compound instrument as **either** a financial liability **or** an equity instrument and has therefore not split the instrument into its components. In this case, you should calculate the debt and equity components and make an adjustment to correct the incorrect recording.



Worked example: Compound financial instruments

A company issued 3,000 convertible 6% 10-year bonds at CU100 each with total issue costs of CU1,500. The present value of the redemption value and interest payments determined at market yields for an investment without the conversion option was CU275,000.

Requirement

Calculate the amounts that should be attributed to the liability and equity components.

Solution

	CU
Net proceeds on issue (3,000 × CU100)	300,000
Fair value of liability component	(275,000)
Equity component	<u>25,000</u>

Therefore, the following should be recognised in the statement of financial position at the date of issue:

		CU
Liability (275,000 - (1,500 × 275/300 issue costs))	273,625	

Equity (Other reserves) $(25,000 - (1,500 \times 25/300 \text{ issue costs}))$ 24,875

Note that classifying the convertible bond into its liability and equity elements **improves a company's gearing** as compared to treating the whole CU300,000 as debt.

Interactive question 5: Compound financial instruments

On 1 January 20X7 an entity issued 10,000 6% convertible bonds at a par value of CU100. Each bond is redeemable at par or convertible into four shares on 31 December 20X8.

Interest is payable annually in arrears. The market rate of interest for similar debt without the conversion option is 8%.

Requirement

Using the proforma below measure the liability and equity components of these bonds on 1 January 20X7.

Year	Cash flow CU	Discount factor	Present value CU
20X7			
20X8			
Total liability component			_____
Total proceeds			
Equity element			_____

See **Answer** at the end of this chapter.

Subsequently the annual interest expense arising on the liability component and recognised in profit or loss should be calculated by reference to the interest rate used in the initial measurement of the liability component.

The equity component is not remeasured.

If all or part of the compound financial instrument is eventually converted into equity, the relevant proportion of the carrying amount of the financial liability should be reclassified as equity, being added to the equity amount initially recognised. No gain or loss should be recognised on conversion of the instrument.

Context example: Compound instruments

In Interactive question 5, the liability component is CU964,335. The subsequent accounting for the liability component should be as follows.

Year	Opening balance CU	Finance cost (8%) CU	Interest paid CU	Closing balance CU
20X7	964,335	77,147	(60,000)	981,482
20X8	981,482	78,518	(60,000)	1,000,000

Note that the CU77,147 finance cost is greater than the CU60,000 ($6\% \times 10,000 \times \text{CU}100$) interest paid because it includes the amortisation of the discount attributable to the liability element. Only the interest actually paid should be presented in the statement of cash flows.

If on 31 December 20X8 all the bond holders elect to convert into equity, then the CU1 million liability should be reclassified to equity, making CU1,035,665 in total. The double entry should be:

	CU	CU
DR Financial liability	1,000,000	
CR Equity		1,000,000

If none of the bonds are converted to equity, the liability of CU1 million will be extinguished by the cash repayment. However, the amount already included in equity of CU35,665 should remain there. The double entry should be:

	CU	CU
DR Financial liability	1,000,000	
CR Cash		1,000,000



Professional skills focus: Assimilating and using information

An exam question will not necessarily use the term 'compound instrument'. It is more likely to say, for example, convertible debt. You are expected to read the information in the question carefully to determine that an instrument is indeed convertible and then apply the correct accounting treatment to it. Part of the skill required at the Professional level is being able to correctly interpret the information provided.

3.5 Interest, dividends, losses and gains

Interest, dividends, losses and gains arising in relation to a financial instrument that is classified as a financial liability should be recognised in profit or loss for the relevant period.

The costs of servicing the financing of a company must be treated **consistently** with the way that the underlying instrument has been treated:

- Dividends on ordinary shares and irredeemable preference shares, which are both classified as equity instruments and where the payment of dividends is discretionary, will be shown as an **appropriation of profit** (in the statement of changes in equity).
- The cost of servicing loans will be **shown** as a finance cost (in profit or loss).
- Dividends on preference shares classified as liabilities will be shown as a finance cost (in profit or loss).

Distributions, such as dividends, paid to holders of a financial instrument classified as equity should be charged directly against equity (as part of the movement on retained earnings in the statement of changes in equity).

The classification will not affect the cash flows which are the same regardless of the presentation.

Interactive question 6: Dividends

Dorehouse Ltd has declared the following dividends during the year:

- (1) An ordinary dividend of CU4 million
- (2) A CU3 million dividend on preference shares redeemable in 20X9

Requirement

Explain the presentation requirements for Dorehouse Ltd's dividends in the financial statements for the year.

See **Answer** at the end of this chapter.

When equity shares are issued, the transaction costs should be deducted from equity, net of any related income tax benefit. The transaction costs to be deducted are only those incremental costs attributable to the equity transaction that otherwise would have been avoided.

Worked example: Issue costs

An entity issued 100,000 new CU1 ordinary shares which have a fair value of CU2.50 per share for cash.

Professional fees in respect of the share issue were CU50,000. The management of the entity estimates that costs incurred internally for time incurred working on the share issue are CU25,000.

Requirement

How should these transactions be recorded in the financial statements?

Solution

The **internal costs should be recognised as an expense in profit or loss** as they were not incremental costs; they would have been incurred in any event. The professional fees were **directly attributable to the transaction** and CU50,000 should be **deducted from equity**.

The double entry to record this transaction should be:

	CU	CU
DR Cash (CU250,000 less CU50,000)	200,000	
CR Share capital		100,000
CR Share premium		100,000

3.6 Offsetting

Financial assets and financial liabilities should generally be presented as separate items in the statement of financial position. However, **offset is required** if:

- the entity has a **legal right of offset**; and
- the entity intends to **settle on a net basis**.

It may be the case that one entity both owes money to and is due money from another entity. A frequently occurring example of this is where a company has several accounts with a single bank, some of which are in credit and some overdrawn. The presentation issue is whether these amounts should be shown separately or whether they should be netted off against each other and a single figure for the resulting net asset (or liability) shown.

IAS 32 looks to see whether there is a **legally enforceable** right to make the set off. But it then goes further, by taking account of the entity's intentions. If there is a legal right to make a set off and the entity **intends to settle the amounts on a net basis**, then the set off must be made.

On this basis an entity with credit and overdrawn bank balances would not set them off against each other (even if it had the legal right to do so) because in the normal course of business it is keeping these accounts separate, so it cannot claim that it 'intends' to settle on a net basis.



Context example: Offsetting

Herdings plc and Intake Ltd trade with each other. Herdings plc has recognised in its financial statements trade receivables of CU40,000 and trade payables of CU20,000 in respect of Intake Ltd. Herdings plc and Intake Ltd have an **informal arrangement** to periodically offset balances and **settle on a net basis**.

Herdings plc **should not offset** the trade receivables and trade payables as **no legal right** of offset exists. While its custom and practice is to settle on a net basis, no formal right of setoff exists.

3.7 Treasury shares

Companies may **reacquire their own shares** as an **alternative to** making **dividend distributions** and/or as a way to return excess capital to shareholders. Equity instruments reacquired by the entity which issued them are known as treasury shares.

The treatment of these treasury shares is as follows:

- They **should be deducted from equity** (presented as a **separate treasury shares reserve**) and the original share capital and share premium amounts remain unchanged.
- **No gain or loss should be recognised** in profit or loss on their purchase, sale, issue or cancellation.
- Consideration paid or received should be recognised directly in equity.
- Although the shares are shown separately in equity, they are deducted in the weighted average number of shares calculation for the purposes of calculating EPS (see Chapter 3).

The amount of treasury shares held should be disclosed either in the statement of financial position or in the notes to the financial statements in accordance with IAS 1, Presentation of Financial Statements.



Context example: Treasury shares

An entity entered into a share buyback scheme. It reacquired 10,000 CU1 ordinary shares for CU2 cash per share. The shares had originally been issued for CU1.20 per share.

The entity should record the reacquired shares as a debit entry of CU20,000 in equity. The original share capital and share premium amounts of CU10,000 and CU2,000 remain unchanged.

	CU	CU
DR Treasury shares	20,000	
CR Cash		20,000

Note: Treasury shares are presented within the Equity section of the statement of financial position as a debit balance. They are normally shown in parentheses.

4 IFRS 7, Financial Instruments: Disclosures



Section overview

- The disclosures required by IFRS 7 are extensive.
- They are designed to show the significance of financial instruments for the entity's financial position and performance.
- They should indicate the nature and extent of risks arising from financial instruments to which the entity is exposed during the period and at the reporting date, and how the entity manages those risks.

4.1 The risks associated with financial instruments

The use of financial instruments by entities is widespread and the risk associated with such instruments can be significant. As financial instruments become more complex and commonplace, clear and full disclosure becomes increasingly important, therefore disclosure is even more important.

The disclosure of information about financial instruments held by an entity is essential as an entity increases the use of such instruments, for example entities operating in the financial services sector. Over the last two decades entities have changed the way in which they use financial instruments and manage their exposure to risk. As a result, the IASB is continually reviewing information that should be disclosed and expanding the requirements of IFRS 7.

4.2 Objectives of IFRS 7

Information concerning an entity's exposure to risk and how the entity manages that risk continues to be important when assessing an entity's financial position and performance. The IASB issued IFRS 7 because it felt that existing standards needed to be improved to ensure that disclosures made in this area provided greater transparency of information, to allow users to better assess the risks that an entity is exposed to.

The objective of IFRS 7 is to require entities to provide disclosures in their financial statements which enable users to evaluate:

- the **significance of financial instruments** for the entity's financial position and performance; and
- the **nature and extent of risks** arising from financial instruments to which the entity is exposed during the period and at the reporting date, and how the entity manages those risks.

4.3 Assessing financial performance and financial position

As set out above, one of the overall objectives of IFRS 7 is to ensure that users of financial statements can adequately evaluate the significance that financial instruments have in the assessment of financial position and performance of an entity. To meet this objective IFRS 7 sets out detailed disclosure requirements in relation to both the statement of financial position and the statement of profit or loss and other comprehensive income.

Either in the statement of financial position or in the notes the carrying amounts of **each category of financial instruments** should be disclosed.

- The fair values of each class of financial instrument should also be disclosed.
- As well as monetary (**quantitative**) disclosures, **narrative commentary** by issuers is encouraged. This is to enable users to understand management's **attitude to risk**.

5 Ethical and judgement issues



Section overview

The application of accounting standards to financial instruments requires significant judgement.

The failure to report transactions involving financial instruments appropriately has contributed to a number of recent accounting scandals. The complexity of many financial instruments presents challenges for financial reporting. This is evidenced by the length of the accounting standards and the detailed application guidance.

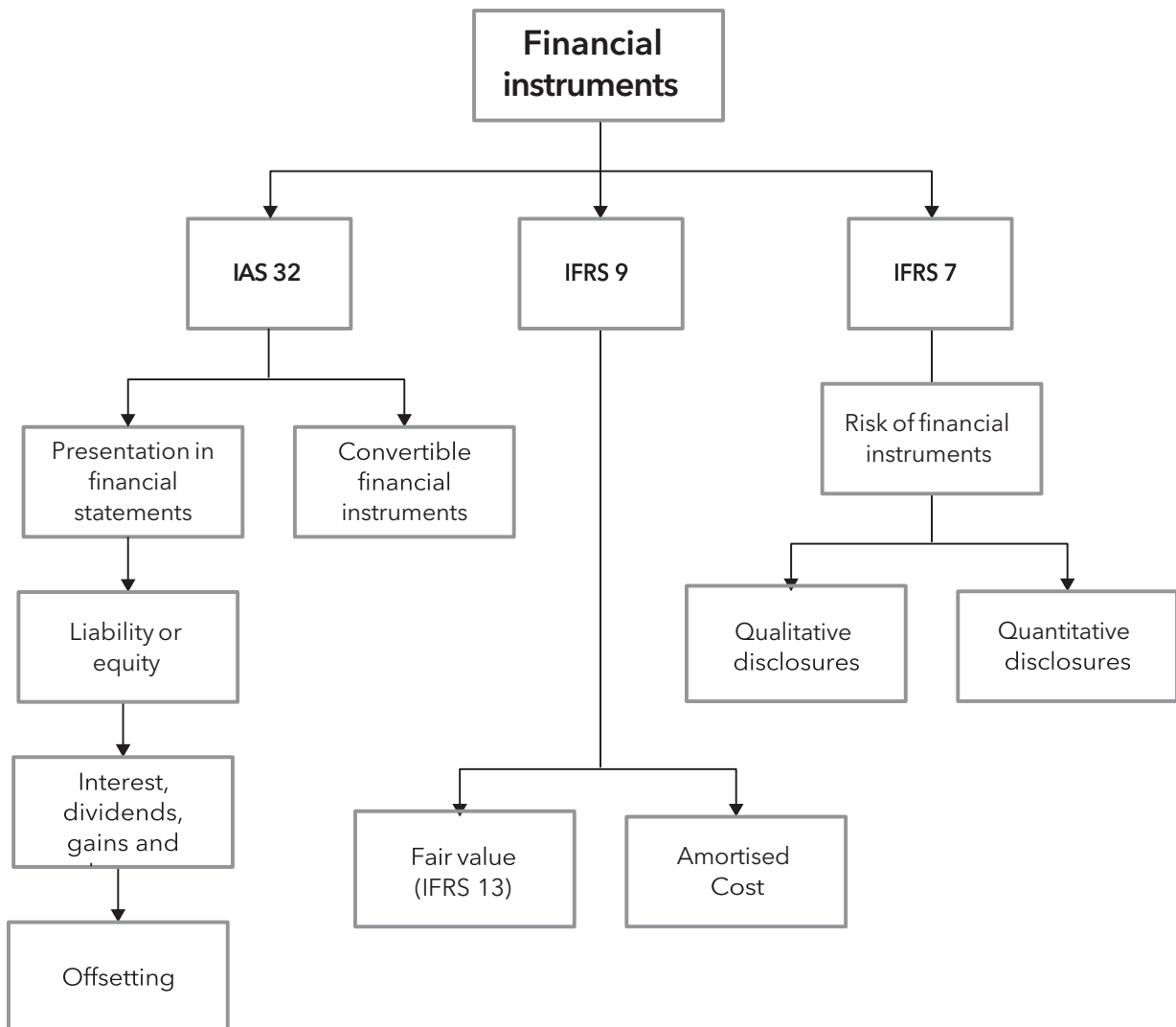
Preparers of financial information must ensure that they understand the complexity of the standards and how they are applied in order to ensure that they are competent to deal with financial instrument transactions. You should be alert to exam scenarios in which a director is trying to achieve a certain target relating to, for example, the carrying amount of assets or the profit for the year. Incorrectly applying the recognition and measurement rules for financial assets and liabilities or misclassifying the payment of interest on liabilities as an equity transaction can be used for the purposes of manipulating the financial statements to achieve given targets.



Professional skills focus: Applying judgement

Professional accountants are responsible for determining the classification of financial instruments, which in turn determines how they are accounted for. This is particularly the case for financial assets where the classification depends on the entity's business model, which in itself may be subjective. Although you will not be faced with particularly complex financial instrument transactions in Financial Accounting and Reporting, you may be faced with a scenario in which a financial instrument has been classified and/or accounted for incorrectly, perhaps because there is an advantage in terms of the value of assets and liabilities or the amounts recognised in the statements of profit or loss. You need to use your judgement to determine if the accounting treatment adopted is appropriate in terms of the accounting standards and ICAB Code of Ethics.

Summary



Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you recall the definitions of financial asset, financial liability and equity? (Topic 1)
2.	How should financial assets be initially measured? (Topic 2)
3.	What are the three ways in which financial assets may be subsequently measured? (Topic 2)
4.	What is a compound instrument? How should it be initially measured? (Topic 3)
5.	What is a treasury share? How are they presented in the financial statements? (Topic 3)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Cashrich plc	This short question is a useful reminder that sometimes you need to interpret the information in a question in order to determine the type of financial instrument and then apply the correct accounting for it. In this case, the question relates to treasury shares but this term is not mentioned in the question.
Leverage plc	This question tests your understanding of risks as defined by IFRS 7. It requires an explanation and is a good example of how disclosure can be examined in a way that does not require a disclosure note to be prepared.
Loan notes	This question tests your understanding of how to apply the amortised cost method. Make sure you know whether you are working with a financial asset or a financial liability before getting into the calculations.
Maroon plc	This a good question to test your understanding of the reasonably complex area of compound instruments . It requires calculation and explanation.
Woodseats Ltd	A more comprehensive question which you should attempt when you feel reasonably happy with the content of this chapter. Part (a) asks about substance over form, which you can discuss in terms of faithful representation.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Adeje Ltd - Notes (6) and (7)	This question will test your understanding of the calculations and journal entries required to account for preference shares and treasury shares.
Alloa Ltd - Notes (7) and (8) and IFRS 7	Part of this question will test your understanding of the calculations and journal entries required to account for preference shares and treasury shares. There is also a short requirement specifically asking about IFRS 7 which will be useful to see how a question about disclosure can be framed.
Gamow Ltd - Note (4)	This is a tricky note which covers the requirements for compound instruments. Note that it doesn't use that term in the question - you are expected to know that convertible debt is a type of compound instrument.
Ashgill plc - Note (2) explanation re: preference shares	This question asks you to account for a transaction and explain why it was appropriate. You should prepare the calculations and journal entries necessary to correctly account for the irredeemable preference shares in Note (2) and then explain why you accounted for them in this way.
Meitner plc	This question contains five financial reporting issues, two of which relate to financial instruments. You are asked to explain the issues, with supporting calculations, and show the impact of the adjustments on the financial statements. Consider carefully whether the preference shares should be presented as debt or equity.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving onto the next chapter.

Technical reference

1 IAS 32, Financial Instruments: Presentation

Presentation of equity and liabilities

- Classification as financial asset, financial liability or equity instrument – **IAS 32 (15-16)**
- Definitions – **IAS 32 (11)**
- Contractual obligation and substance of instrument – **IAS 32 (17-18)**
- Settlement options – **IAS 32 (26-27)**
- Treasury shares – **IAS 32 (33-34)**
- Interest, dividends, losses and gains – **IAS 32 (35-36)**
- Offsetting – **IAS 32 (42)**

Compound instruments

- Recognising liability and equity elements – **IAS 32 (28)**
- Example of convertible bonds – **IAS 32 (29-30)**
- Calculation of liability and equity elements – **IAS 32 (31-32)**

2 IFRS 9, Financial Instruments

Recognition

- Classification of financial assets – **IFRS 9 (4.2)**
- Classification of financial liabilities – **IFRS 9 (4.2)**

Measurement

- Initial measurement of financial assets and financial liabilities – **IFRS 9 (5.1)**
- Subsequent measurement of financial assets – **IFRS 9 (5.2)**
- Subsequent measurement of financial liabilities – **IFRS 9 (5.3)**

Treatment of gains and losses

- Recognition of expected credit losses – **IFRS 9 (5.5)**
- Gains and losses – **IFRS 9 (5.7)**

3 IFRS 13, Fair Value Measurement

Definition, measurement framework and required disclosures – **IFRS 13 (App and 11-91)**

4 IFRS 7, Financial Instruments: Disclosures

Nature and extent of risks arising from financial instruments

- Purpose of disclosures – **IFRS 7 (31-32)**
- Qualitative disclosures – **IFRS 7 (33)**
- Quantitative disclosures – **IFRS 7 (34)**

Self-test questions

Answer the following questions.

1 IAS 32

According to IAS 32, Financial Instruments: Presentation, what is the correct treatment for dividends on redeemable preference shares and dividends on ordinary shares in the financial statements?

2 Cashrich plc

Cashrich plc has decided that it will use surplus funds to reacquire 100,000 of its equity shares at a price of CU2.15 per share.

Requirement

Explain how this will be accounted for and show the journal for the transaction.

3 Leverage plc

Leverage plc has made loans to a number of different entities. Some of those entities are now experiencing cash flow problems. Another loan is due to be repaid in two months' time in Japanese yen. Since the loan was made, sterling has strengthened against the yen. It is difficult to predict whether this will continue.

Requirement

How would the risks to which Leverage plc is exposed be classified under IFRS 7?

4 Loan notes

On 1 January 20X5 Beppe plc purchases CU150,000 of 6% loan notes. The loan notes will be redeemed at a premium on 31 December 20X8. The effective interest rate is 7.5%.

Requirement

What will be the carrying amount of the loan notes at 31 December 20X6?

5 Maroon plc

On 1 January 20X4 Maroon plc issued 100,000 CU1 6% convertible redeemable preference shares. Issue costs of CU6,700 were incurred and the preference shares are redeemable at par for cash on 31 December 20X8 or are convertible into 20,000 new CU1 ordinary shares at that time. The preference dividend is paid on 31 December each year.

The interest rate on similar financial instruments without the convertibility option is 8%. The impact of the issue costs is to increase the effective interest rate to 9.7%.

Requirements

5.1 Prepare extracts from Maroon plc's financial statements for the year ended 31 December 20X4 on the basis that the convertible preference shares are accounted for:

- (a) in accordance with their legal form
- (b) in accordance with IAS 32, Financial Instruments: Presentation

5.2 Comment on the usefulness of the presentation requirements of IAS 32 in understanding the nature of the preference shares and how its requirements affect the view presented.

6 Woodseats plc

Difficulties can arise in the presentation of financial instruments in the statement of financial position of an entity in relation to their classification as liabilities and equity and to the related interest, dividends, losses and gains.

The objective of IAS 32, Financial Instruments: Presentation is to address this problem by establishing principles for presenting financial instruments as liabilities or equity and for offsetting financial assets and financial liabilities.

On 1 January 20X3 Woodseats plc had only 50 million CU1 ordinary shares in issue, which had been in issue for many years. During the year ended 31 December 20X3 Woodseats plc entered into the following financing transactions.

- (1) On 1 January 20X3 Woodseats plc issued 20 million 8% CU1 preference shares at par. The preference shares are redeemable at par on 30 June 20X8. The appropriate dividend in respect of these shares was paid on 31 December 20X3.
- (2) On 30 June 20X3 Woodseats plc issued 10 million 12% CU1 **irredeemable preference** shares at par. Dividends are **discretionary and non-cumulative**. The appropriate dividend in respect of these shares was paid on 31 December 20X3.

The draft profit for 20X3, before accounting for the dividends paid or finance costs on either class of preference share, was CU15 million. Retained earnings at 1 January 20X3 were CU75 million.

Requirements

- 6.1 Describe the concept of **'substance over form'** and its application to the presentation of financial liabilities under IAS 32, Financial Instruments: Presentation.
- 6.2 Prepare extracts from the financial statements of Woodseats plc for the year ended 31 December 20X3 to the extent the information is available, showing how the above would be reflected in those financial statements.

Note: Notes to the accounts are not required. Ignore taxation.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

- (a) The inventory is not a financial instrument as it is a physical asset. Guideprice Ltd should recognise a trade payable in its financial statements; this is a financial liability because there is a contractual obligation to pay the amount in cash. Conversely, Offertake Ltd records a trade receivable for CU5,000, which is a financial asset as it has the contractual right to receive cash.
- (b) Ashdell Ltd has paid for services in advance. The CU20,000 should be recorded as a prepayment. The future economic benefit is the right to receive insurance services rather than cash, ordinary shares or another financial asset. Therefore, prepayments are not financial instruments.
- (c) The ordinary shares are an equity instrument of Wellbeck Ltd as they give the holder a residual interest in the assets of Wellbeck Ltd after deducting the liabilities. The ordinary shares are a financial asset of Keeload Ltd.
- (d) Cashlow plc has entered into a mortgage. The contractual obligation to repay CU200,000 to Norbert plc is a financial liability. Norbert plc has a financial asset as it has the contractual right to receive CU200,000 cash.

Answer to Interactive question 2

The carrying amount of the bonds at 31 December in the years 20X1 to 20X5 is as follows:

Period end	Amount borrowed CU	Finance cost (at 9.5%) CU	Repaid (4% × CU200,000) CU	Carrying amount CU
20X1	157,763	14,988	(8,000)	164,751
20X2	164,751	15,651	(8,000)	172,402
20X3	172,402	16,378	(8,000)	180,780
20X4	180,780	17,174	(8,000)	189,954
20X5	189,954	18,046	(8,000)	200,000
			(200,000)	

Answer to Interactive question 3

Preference shares redeemable at the issuer's option are classified as equity because there is no obligation to transfer financial assets (for example cash) at some future time. However, if Moorgate Ltd notifies the holders of an intention to redeem the preference shares at some future time, then an obligation arises and the preference shares should be reclassified as financial liabilities.

The rights attaching to the shares should be considered, to establish the substance of the instruments for classification. The dividends are not contractual obligations as they are only paid when ordinary share dividends are declared. In substance they are at the discretion of Moorgate Ltd and this confirms the classification as equity.

Answer to Interactive question 4

As the preference shares are redeemable, they should be classified as liabilities and accounted for using the amortised cost method.

Year	Opening balance	Finance cost 7%	Dividend paid 6%	Closing balance
	CU	CU	CU	CU
20X3	285,000	19,950	(18,000)	286,950
20X4	286,950	20,086	(18,000)	289,036

Answer to Interactive question 5

Year	Cash flow	Discount factor	Present value
	CU		CU
20X7	60,000	1/1.08	55,556
20X8	1,060,000	1/1.08 ₂	
Total liability component			<u>908,779</u>
Total proceeds			964,335
Equity element 10,000 × CU100			<u>1,000,000</u>
			35,665

Answer to Interactive question 6

Dividends payable should be classified according to the underlying financial instrument:

- (1) Dividends payable on ordinary shares (an equity instrument) should be charged directly against equity as a deduction from retained earnings. Dorehouse Ltd's CU4 million ordinary dividend should be recognised in the statement of changes in equity.
- (2) Dividends payable on redeemable preference shares (a financial liability) should be recognised as an expense in profit or loss. Dorehouse Ltd's CU3 million preference dividend should be recognised as a finance cost in profit or loss.

Answers to Self-test questions

1 IAS 32

Equity dividends paid are recognised in the statement of changes in equity. Equity dividends declared after the year-end are not a liability at the end of the reporting year so are not recognised. Dividends on redeemable preference shares classified as a liability are recognised in profit or loss as a finance cost.

2 Cashrich plc

IAS 32 requires shares which have been repurchased to be presented separately in the statement of financial position as treasury shares, which are a deduction from equity. No gain or loss on the transaction is recognised so there is no impact on profit or loss.

The journal entry will be:

	CU	CU
DR Treasury shares (equity section)	215,000	
CR Cash		215,000

3 Leverage plc

Leverage plc is exposed to two types of risk:

- Credit risk. The risk that one of the entities to whom it has advanced a loan will be unable to repay the money.
- Market risk. The risk in this case of an exchange loss on the transaction. If sterling is stronger against the yen when the loan matures than it was when the loan was made, then the amount that Leverage plc receives in yen will buy less sterling.

4 Loan notes

The carrying amount of the loan notes at 31 December 20X6 will be CU154,669. WORKING

	B/f CU	Interest 7.5%	Interest received 6%	C/f CU
1 January 20X5	150,000	11,250	(9,000)	152,250
1 January 20X6	152,250	11,419	(9,000)	154,669

5 Maroon plc

5.1 (a) Extracts from financial statements for the year ended 31 December 20X4

	(1) Legal Form	(2) IAS 32
Statement of profit or loss		
Finance cost (W2)	-	8,327
Statement of changes in equity		
Dividends paid	6,000	-

Statement of financial position

Non-current liabilities		
Borrowings (W2)	-	88,177
Equity		
Equity element of convertible debt (W1)	-	7,450
Convertible preference shares (100,000 - 6,700)	93,300	-

Statement of cash flows

Cash flows from operating activities		
Interest paid	-	(6,000)
Dividends paid	(6,000)	-
Cash flows from financing activities		

Proceeds from issue of convertible, redeemable preference shares 93,300 93,300

WORKING**Splitting the liability and equity components on initial recognition Payments**

Discount factor	Present value		
	Amount (CU)	8% (Note)	(CU)
20X4	6,000	0.925926	5,556
20X5	6,000	0.857339	5,144
20X6	6,000	0.793832	4,763
20X7	6,000	0.735030	4,410
20X8	106,000	0.680583	<u>72,142</u>
Liability component			92,015
Equity component (Bal fig)			<u>7,985</u>
Total			<u>100,000</u>
Allocation of issue costs:			
Liability component (92,015 - (6,700 × 92,015/100,000))			85,850
Equity component (7,985 - (6,700 × 7,985/100,000))			7,450

Note: The discount factors are calculated using the $1/(1+r)^n$ formula.

- (b) Calculating the liability carrying amount at year end using the post-issue costs effective interest rate.

	CU
Liability at 1 January 20X4	85,850
Interest expense at 9.7% (9.7% × 85,850)	8,327
Cash paid	<u>(6,000)</u>
Liability at 31 December 20X4	<u>88,177</u>

- 5.2 The legal form of the preference shares is equity. They are a type of share capital. If the transaction is accounted for in accordance with its legal form, the preference shares are included in equity and the dividends are presented as part of the movement in equity.

The substance of redeemable preference shares is that they are debt as there is a contractual obligation to make repayments of interest and capital. These terms meet the definition of a financial liability.

However, the convertibility option means that the preference shares also have an equity component. The same effect could have been achieved by issuing warrants and redeemable preference shares separately.

The requirements of IAS 32 reflect the substance of the transaction, focusing on the economic reality that in effect two financial instruments have been issued. These preference shares are a compound financial instrument and split accounting should be applied.

The requirements of IAS 32 will increase the amount of borrowings in the financial statements compared with if the preference shares had been accounted for in accordance with their legal form. As a result, gearing will be higher and it may be more difficult for Maroon plc to obtain further borrowing.

If the legal form were reflected in the financial statements, the preference share dividend would be recognised in the statement of changes in equity. Under IAS 32 the dividend is recognised as an expense in profit or loss as a finance cost. The IAS 32 expense is higher than the dividend paid as it includes the amortisation of the discount of the liability. Earnings under IAS 32 will be lower than under the legal form.

The cash flows are the same in both sets of circumstances, although they will be categorised differently as interest and dividends paid. However, users of financial statements may perceive a different level of risk.

Note: Convertible bonds are another type of compound financial instrument. Their legal form is debt. For convertible bonds, gearing would be higher if the legal form was applied.

6 Woodseats plc

6.1 Substance over form and the presentation of financial liabilities under IAS 32, Financial Instruments: Presentation

The Conceptual Framework requires information to be relevant and faithfully represented. Faithful representation means that financial information represents the substance of an economic phenomenon rather than merely representing its legal form.

The substance is not always consistent with the legal form of a transaction. This is often the case when an arrangement involves a number of linked transactions or components.

IAS 32 uses the substance of a financial liability rather than its legal form to determine the classification in the statement of financial position. Some financial instruments take the legal form of equity but are liabilities in substance as they include contractual obligations to transfer economic benefits to the holder. This approach is consistent with the definition of a liability in the Conceptual Framework and such financial liabilities are classified in liabilities and not equity.

More complex financial instruments may combine features of both equity instruments and financial liabilities. IAS 32 looks at the substance of the components of the instrument and classifies them separately.

6.2 Financial statement extracts

Statement of financial position as at 31 December 20X3

	CUm
EQUITY AND LIABILITIES	
Equity	
Ordinary share capital	50
Preference share capital (irredeemable)	10
Non-current liabilities	
Preference share capital (redeemable)	20

Statement of profit or loss for the year ended 31 December 20X3

	CUm
Finance cost (20m × 8%)	(1.6)

Statement of changes in equity for the year ended 31 December 20X3

	Ordinary share capital CUm	Irredeemable preference share capital CUm	Retained earnings CUm	Total CUm
Balance at 1 January 20X3	50	-	75	125
Issue of share capital		10		10
Dividends paid (10 × 12% × 6/12)			(0.6)	(0.6)
Total comprehensive income (15 - 1.6)			13.4	13.4
Balance at 31 December 20X3	50	10	87.8	147.8